2 SOURCE OF CORPORATE FINANCE

MEMORY CHART

1

SOURCES OF FINANCE

- Owned Capital
  - Shares
    - Equity Shares
    - Preference Shares
  - Retained Earnings (Ploughing back of profit)
- Borrowed Capital
  - (1) Debentures
  - (2) Public Deposits
  - (3) Bonds
  - (4) ADR/GDR
  - (5) Bank Loans
  - (6) Loan from Financial Institutions
  - (7) Trade Credit

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OWNED CAPITAL

- Capital raised by company with the help of shareholders.
- Regarded as **permanent** capital.
- Provide **initial source** of capital for a new company

3

SHARES

Definition

- "Share means a share in the share capital of a company and includes stock."
  — **Section 2 (84) – Companies Act, 2013**

FEATURES

- (1) Meaning → Smallest unit in total share capital
- (2) Ownership → Shareholders
- (3) Distinctive numbers
- (4) Evidence of title
- (5) Value of Share (Face value, Issue price, Market value)
- (6) Rights → Receive dividend, Inspect statutory books, attend shareholders meeting, right to vote, etc.
- (7) Transferability
- (8) Property of shareholder
- (9) Income → Dividend
- (10) Kinds of shares: • Equity shares • Preference shares

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TYPES OF SHARES

(A) Equity Shares

(1) Equity shares with voting rights
(2) Equity shares with differential voting rights

FEATURES

(1) Permanent capital
(2) Fluctuating dividend
(3) Enjoy certain rights
(4) No preferential right
(5) Controlling power
(6) Risk
(7) Residual claimant
(8) No charge on assets
(9) Eligible for bonus issue
(10) Eligible for rights issue
(11) Face value
(12) Market value
(13) Capital appreciation

(B) Preference Shares

(1) Cumulative Preference Shares
(2) Non-cumulative Preference Shares
(3) Participating Preference Shares
(4) Non-participating Preference Shares
(5) Convertible Preference Shares
(6) Non-convertible Preference Shares
(7) Redeemable Preference Shares
(8) Irredeemable Preference Shares

FEATURES

(1) Preference for dividend
(2) Preference for repayment of capital
(3) Fixed return
(4) Nature of capital
(5) Market value
(6) Voting rights
(7) Risk
(8) Face value
(9) Not eligible for rights or bonus issue
(10) Nature of investor

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4

RETAINED EARNINGS

(Reduced Syllabus for 2020-21)

5

DEBENTURES

- Latin word 'debere' means 'to owe'.
- Principal source of raising borrowed capital

Definitions

Companies Act, 2013

- The word debenture includes debenture stock, bonds and any other instrument of a company evidencing a debt, whether constituting a charge on the assets of the company or not."

Palmer

- "A debenture is an instrument under seal evidencing debt, the essence of it being admission of indebtedness."

Topham

- "A debenture is a document given by a company as evidence of debt to the holder, usually arising out of loan, and most commonly secured by charge."

- **Conclusion:**

(a) Debenture is an evidence of indebtedness.
(b) It is issued in the form of debenture certificate under the common seal of the company.

FEATURES

(1) Promise
(2) Face Value (₹ 100 or in multiple of 100)
(3) Time of repayment
(4) Priority of repayment
(5) Assurance of repayment
(6) Interest (Fixed rate of interest)
(7) Parties to debentures – (Company, Trustees, Debenture holders)
(8) Authority to issue debentures – (Board of Directors)
(9) Status of debenture holders – (Creditors of the company)
(10) No voting rights
(11) Security – (Fixed or floating charge on assets)
(12) Issuers – (Private company and public limited company)
(13) Listing – (One recognized stock exchange)
(14) Transferability – (Easily transferable)

TYPES OF DEBENTURES

On the basis of security	On the basis of transfer	On the basis of repayment	On the basis of conversion
• Secured and • Unsecured Debentures	• Registered and • Bearer Debentures	• Redeemable and • Irredeemable Debentures	• Convertible and • Non-convertible Debentures

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6 DEPOSIT (PUBLIC DEPOSITS)

Definition:

- 'Deposit' includes any receipt of money by way of deposit or loan or in any other form by a company, but does not include such categories of amount as may be prescribed in consultation with the Reserve Bank of India.'

– Section 2(31) of Companies Act, 2013

Meaning

(1) Sources of financing **short term** requirements of the company.
(2) Period of deposits – **6 months** to **36 months**.
(3) Depositors are issued **deposit receipts** as an acknowledgment of debt or loan by the company.
(4) Deposits can be **secured** or **unsecured**.

7 BONDS

Definition:

- 'A bond is an interest bearing certificate issued by the government or business firm, promising to pay the holder a specific sum at a specified date.'

– Webster Dictionary

- Debt security or loan.
- Bond holder is a **creditor** of the company.
- Interest in paid on bonds.
- All bonds have maturity date.

FEATURES

(1) Nature of Finance
(2) Status of bondholder
(3) Return on bonds
(4) Repayment

8 AMERICAN DEPOSITORY RECEIPT (ADR) AND GLOBAL DEPOSITORY RECEIPT (GDR)

(1) It is an Dollar/Euro denominated instrument traded in USA and Europe Stock Exchange.

(2) Issued by foreign depository bank like Bank of New York, Citi group, etc.

(3) Issued against shares of Indian company.

(4) It can be traded on stock exchanges like regular shares

(5) ADR → if Depository Receipt traded in USA
GDR → if Depository Receipt traded in a country other than USA

(6) Exchanges where GDR is traded are:
- London Stock Exchange
- Luxembourg Stock exchange.
- NASDAQ Dubai
- Singapore Stock exchange.
- Hongkong Stock exchange.

9 COMMERCIAL BANKS

Assists Corporate Enterprises By

(a) Granting term loans
(b) Subscribing shares and debentures
(b) Underwriting issue of securities

Disburse Capital Through

(1) Overdraft
(2) Cash Credit
(3) Cash Loans
(4) Discounting of Bills of Exchange

10 FINANCIAL INSTITUTIONS

(Reduced Syllabus for 2020-21)

11 TRADE CREDIT

(Reduced Syllabus for 2020-21)

Focus on the following questions: Chatur's Important Questions

Q.1. Distinguish between: (a) Equity shares and Preference shares
(b) Share and Debenture

Q.2. What is an equity share? Explain its features.

Q.3. What are preference shares? Explain the types of preference shares.

Q.4. Define and explain the type of debentures.

Q.5. What are features of preference shares?